

However, is it sensible to claim that these drivers receive extra compensation because of these additional risks? Would a NASCAR driver with no helmet get a better endorsement deal?

The logical answer is no. From a strictly economic point of view, drivers cannot avoid certain risks associated with auto racing. Hence, these risks should be compensated. But if a risk can be avoided, they are not compensated for acting carelessly. Because the proper protection can eliminate or reduce avoidable risk, there is no benefit to assuming such risk.

The takeaway is that diversification of your 401(k) plan has two attributes:

- If you diversify across different funds and companies, you will smooth out the fluctuations and volatility.
- If you don't, you will not be compensated for this extra risk. The fund units and investments will just bounce around, with little to show for it in the long run.

The Importance of International Investing

I have focused so far on domestic stock diversification. In reality, of course, an investor can choose to diversify not only across individual stocks or sectors, but also across different types of investments and more importantly across geographical regions.

Unique risks are associated with individual country markets. Most investors trade in stocks of domestic firms in a particular market. Therefore, if that market were to experience a political or economic catastrophe, the domestic firms traded on the market would all be affected. But these events may have less of an effect on companies and stocks in other countries.

Through international diversification, an investor can avoid the risks associated with a single country. Note, however, that domestic events in some countries can impact international stocks as well. For example, insulating against unique risk associated with powerful economies like the United States or Japan is difficult due to the